CAPITAL MARKETS

Life Company Loan on Long Island Industrial Shows Capital Is Chasing Proven Cash Flow, Not Stories

A $35M seven-year loan for a 95%-occupied small-bay portfolio reveals what debt markets will underwrite today.

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A source-grounded Light Tower Insight. The complete note follows.

The five small-bay industrial buildings sit on 13.9 acres across Farmingdale, Hicksville, and Oceanside. They total 275,891 square feet, split into 40 suites. Over the past five years, they have averaged 95 percent occupancy. That is the fact that made the loan possible.

Northmarq arranged $35 million in acquisition financing for the portfolio through an undisclosed life insurance company. The loan carries a seven-year term. The borrower is also undisclosed. The transaction is not large by New York metro standards, but its structure reveals more about the current debt market than many bigger deals.

Life insurance companies are not the most aggressive lenders in commercial real estate. They do not chase yield into marginal assets. They underwrite to hold, not to syndicate. Their cost of capital is stable, their return requirements are moderate, and their tolerance for leasing risk is low. When a life company writes a seven-year loan on a portfolio of small-bay industrial buildings, it is making a statement about the asset class, the submarket, and the income stream.

The statement is not that industrial is booming. It is that this specific kind of industrial—small-bay, multi-tenant, infill, historically full—produces cash flow that a life company can model with confidence. The 95 percent average occupancy over five years is not a projection. It is a track record. In a market where lenders are demanding proof before proceeds, that track record is the most valuable underwriting input.

The seven-year term is also revealing. Life companies typically offer five- to ten-year fixed-rate loans. A seven-year term suggests the lender wanted enough duration to earn a spread but not so much that it would be locked into a rate that might look expensive if the Fed cuts further. It is a compromise between yield and optionality. The borrower, in turn, gets rate certainty through a period that covers the next refinancing cycle for most of the portfolio's tenants.

The undisclosed borrower and lender are standard for a deal of this size, but they also point to a market where relationships still matter. Life company debt is not commoditized. It is sourced through intermediaries like Northmarq who know which insurers are looking for this exact risk profile. The borrower is likely a private owner or a smaller institutional fund that does not need to market its financing. The lender is likely an insurer that has a long-standing relationship with the intermediary or the sponsor.

What the deal does not tell us is equally important. There is no cap rate, no loan-to-value ratio, no debt yield, and no rent roll. Without those numbers, we cannot assess how much leverage the lender allowed or how aggressively the asset was priced. But the fact that a life company provided the debt at all, in this rate environment, for an acquisition, suggests the basis was conservative enough to underwrite.

The broader market signal is this: capital is not flowing to industrial broadly. It is flowing to industrial with a demonstrated income history, a granular tenant base, and a location that limits supply. Long Island's small-bay industrial market has all three. The barrier to entry is high, the vacancy rate is low, and the tenant profile—local service businesses, contractors, light manufacturers—is less sensitive to economic cycles than big-box logistics.

For owners of similar assets, the implication is straightforward. If you have a portfolio with a five-year occupancy track record above 90 percent, life company debt is available at terms that make sense. You do not need to chase bank construction loans or CMBS execution. You can lock in fixed-rate, long-duration financing from a lender that will not call the loan if the market dips.

For owners of assets that do not have that track record, the message is different. The market is not rewarding stories about future leasing. It is rewarding history. The lender is not betting on the sponsor's business plan. It is betting on the building's operating record.

The next test for this submarket will be whether the same capital is available for refinancings of assets that have drifted below 90 percent occupancy, or for acquisitions where the buyer needs to lease up vacancy to hit its return. Those deals will require a different lender, a different structure, and a different price. The life company lane is narrow, but for the right asset, it is open.

SOURCES

— RE Business Online — https://rebusinessonline.com/northmarq-arranges-35m-in-acquisition-financing-for-long-island-industrial-portfolio/

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